

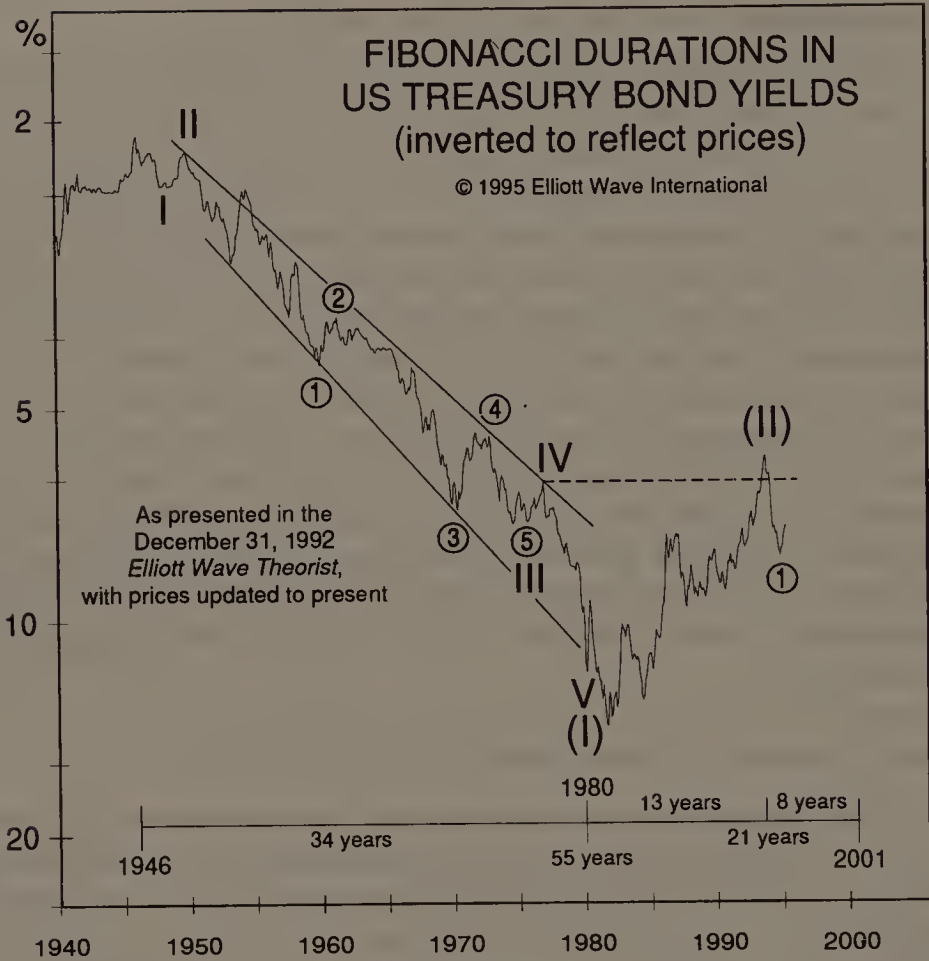


Figure 16-11

turning point. Whether that turn will be a bottom or top is little better than a guess. Usually the condition of the market at the time will clarify the direction of the probable trend change. However, for the reasons cited, the odds heavily favor 2001 $\pm$ 1 year marking a *low*.

INVESTOR PSYCHOLOGY

The area of finance that is most extended, most vulnerable, most hyped, and most widespread in its reach is the market for debt. The rush to buy bonds over the past one and a half decades has quite simply been a mania. In terms of volume and geographical breadth, it is an unprecedented mania. Up through February 1994, bond mutual funds in the United States enjoyed their biggest capital inflow in history, as summarized in Figure 16-12.